# Case study

## 1. 2003 Telgi Scam Corporate Governance Scandal Case Study: -

- **Introduction**

The 2003 Telgi scam was a major corporate governance scandal in India. The scam was perpetrated by Abdul Karim Telgi, who counterfeited stamp papers and sold them through a network of agents. The scam caused an estimated loss of over ₹200 billion (US$2.5 billion) to the Indian government.

The Telgi scam also highlighted a number of corporate governance failures in Indian companies. The companies that were involved in the scam failed to have adequate risk management systems in place and failed to conduct proper due diligence on their customers.

- **Background**

Abdul Karim Telgi was born in Khanapur, Karnataka, India in 1963. He came from a poor family and did not have a formal education. Telgi began his criminal career by forging documents and selling them to people who needed them to obtain loans or other benefits.

In the late 1990s, Telgi began to counterfeit stamp papers. Stamp papers are government-issued documents that are required for certain legal transactions, such as the sale of property or the transfer of shares. Telgi was able to counterfeit stamp papers of high quality, and he sold them through a network of agents.

Telgi's scam was successful because he was able to exploit a number of weaknesses in the Indian system. First, the Indian government did not have a central database of stamp papers, which made it difficult to detect counterfeits. Second, many companies did not have adequate risk management systems in place, and they failed to conduct proper due diligence on their customers.

- **Corporate Governance Failures**

The Telgi scam highlighted a number of corporate governance failures in Indian companies. The companies that were involved in the scam failed to have adequate risk management systems in place and failed to conduct proper due diligence on their customers.

For example, some companies failed to verify the authenticity of stamp papers before accepting them as payment. Other companies failed to keep proper records of their transactions, which made it difficult to track down the counterfeit stamp papers.

- **Impact of the Scam**

The Telgi scam had a significant impact on the Indian economy. The scam caused an estimated loss of over ₹200 billion (US$2.5 billion) to the Indian government. The scam also damaged the reputation of Indian companies and eroded public confidence in the corporate sector.

- **Lessons Learned**

The Telgi scam offers a number of important lessons for corporate governance. First, it is important for companies to have strong risk management systems in place. These systems should be designed to identify, assess, and mitigate the risks associated with the company's business.

Second, companies need to conduct proper due diligence on their customers. This includes verifying the identity of customers and the authenticity of any documents they provide.

Third, companies need to keep proper records of their transactions. This will help companies to track down counterfeit stamp papers and other fraudulent activities.

- **Recommendations**

  - In addition to the lessons learned above, the following recommendations can be made to prevent similar scams from happening in the future:
  - The Indian government should establish a central database of stamp papers. This would make it easier to detect counterfeit stamp papers.
  - Regulatory bodies should strengthen their oversight of corporate governance practices in Indian companies.
  - Companies should invest in training their employees on corporate governance and fraud detection.

By taking these steps, we can help to ensure that corporate governance failures like the Telgi scam do not happen again.

## 2. KINGFISHER AIRLINES CASE: -

- **Introduction: -**

Vijay Mallya is an Indian businessman who was once known as the "King of Good Times." He was the chairman of the UB Group, a conglomerate with interests in alcoholic beverages, aviation, and other industries. However, Mallya is now best known for his involvement in a massive fraud case.

In 2012, Mallya's airline, Kingfisher Airlines, collapsed under a mountain of debt. Mallya was accused of defrauding banks out of billions of dollars to keep his airline afloat. He fled India in 2016 and has been living in the United Kingdom ever since.

The Vijay Mallya case is one of the largest and most high-profile corporate fraud cases in Indian history. It has also had a significant impact on the Indian banking sector.

- **Background: -**

Vijay Mallya was born in Bangalore, India in 1955. He came from a wealthy family and his father was a successful businessman. Mallya studied accounting and law in the United Kingdom before returning to India to join his father's business.

In the 1980s, Mallya took over control of the UB Group and began to expand its business interests. He acquired several beer and whisky companies, and he also launched Kingfisher Airlines in 2005.

Kingfisher Airlines quickly became one of the most popular airlines in India. However, the airline was also very expensive to operate. Mallya began to borrow heavily from banks to keep the airline afloat.

- **The Fraud: -**

In 2012, Kingfisher Airlines was unable to repay its debts. The airline collapsed and Mallya was accused of defrauding banks out of billions of dollars.

Mallya is alleged to have used forged documents and other fraudulent means to obtain loans from banks. He is also accused of diverting the loan money to other businesses and personal expenses.

- **The Investigation: -**

The Indian government launched an investigation into the Vijay Mallya case in 2013. The investigation is still ongoing, but Mallya has been charged with several crimes, including fraud and money laundering.

In 2017, the Indian government revoked Mallya's passport. The government has also sought to extradite Mallya from the United Kingdom. However, the extradition process has been delayed by legal challenges.

- **Impact on the Indian Banking Sector: -**

The Vijay Mallya case has had a significant impact on the Indian banking sector. Several banks have suffered large losses due to Mallya's alleged fraud.

The case has also led to increased scrutiny of corporate loans by banks. Banks are now more cautious about lending to companies, and they are demanding more collateral from borrowers.

- **Additional Details: -**

In addition to the information above, here are some additional details about the Vijay Mallya case:

• Mallya is accused of defrauding 17 banks out of over 9,000 crores (approximately US$1.3 billion).

• Mallya is also accused of diverting the loan money to other businesses and personal expenses, such as buying luxury homes and yachts.

• Mallya fled India in 2016 and has been living in the United Kingdom ever since.

• The Indian government has sought to extradite Mallya from the United Kingdom, but the extradition process has been delayed by legal challenges.

• The Vijay Mallya case has had a significant impact on the Indian banking sector. Several banks have suffered large losses due to Mallya's alleged fraud.

- **Case Study Analysis: -**

The Vijay Mallya case is a classic example of corporate fraud. Mallya allegedly used a variety of fraudulent means to obtain loans from banks, and he then diverted the loan money to other businesses and personal expenses.

The case also highlights the risks associated with corporate lending. Banks need to be careful about who they lend to and they need to have robust risk management systems in place.

The Vijay Mallya case is also a reminder of the importance of corporate governance. Companies need to have strong governance structures in place to prevent fraud and other abuses.

- **Recommendations: -**

In light of the Vijay Mallya case, the following recommendations can be made:

• Banks should be more cautious about lending to companies, and they should demand more collateral from borrowers.

• Companies should have strong governance structures in place to prevent fraud and other abuses.

• The Indian government should expedite the extradition process for Vijay Mallya.

## 3. Satyam Computer Services Scandal (2009) in Corporate Governance Case Study: -

- **Introduction**

The Satyam Computer Services scandal was a major corporate governance scandal that occurred in India in 2009. Ramalinga Raju, the founder and chairman of Satyam Computer Services, admitted to falsifying the company's accounting records for several years. This led to the company's collapse and a major loss of investor confidence in Indian companies.

The Satyam scandal highlighted a number of corporate governance failures. The company's board of directors was dominated by Raju and his allies. This allowed Raju to have excessive control over the company's affairs and to make questionable decisions without adequate oversight from the board.

In addition, Satyam's auditors failed to detect the fraud. The auditors were PricewaterhouseCoopers (PwC), one of the world's largest accounting firms. PwC has been heavily criticized for its failure to detect the fraud.

- **Corporate Governance Failures**

The Satyam scandal highlighted a number of corporate governance failures. These failures include:

- Dominant Board: The board of directors of Satyam was dominated by Raju and his allies. This allowed Raju to have excessive control over the company's affairs and to make questionable decisions without adequate oversight from the board.
- Weak Audit Oversight: Satyam's auditors, PwC, failed to detect the fraud. This is a major failure of audit oversight.
- Lack of Transparency: Satyam failed to disclose important information to its shareholders and creditors. This lack of transparency made it difficult for investors and creditors to assess the company's true financial condition.

- **Impact of the Scandal**

The Satyam scandal had a significant impact on the Indian economy and on the global reputation of Indian companies. The scandal led to a loss of investor confidence in Indian companies and made it more difficult for Indian companies to raise capital.

The scandal also damaged the reputation of the Indian accounting profession. PwC, Satyam's auditor, was heavily criticized for its failure to detect the fraud.

- **Lessons Learned**

The Satyam scandal offers a number of important lessons for corporate governance. These lessons include:

- Board Composition: It is important for boards of directors to be independent and to have a diverse range of skills and experience. This helps to ensure that the board is able to provide effective oversight of the company's management.
- Auditor Oversight: It is important for companies to have a strong audit committee in place. The audit committee should be responsible for overseeing the company's auditors and ensuring that they are conducting their audits in accordance with professional standards.
- Transparency: Companies need to be transparent and disclose important information to their shareholders and creditors. This information should be accurate and complete, and it should be disclosed in a timely manner.

- **Recommendations**

In addition to the lessons learned above, the following recommendations can be made to prevent similar scandals from happening in the future:

- Regulatory bodies should mandate independent directors on the boards of all listed companies.
- Regulatory bodies should strengthen their oversight of audit firms.
- Audit firms should invest in training their employees on fraud detection.
- Companies should implement whistleblower policies to encourage employees to report suspected wrongdoing.

**4. Nirav Modi Scam in Corporate Governance Case Study: -**

- **Introduction: -**

The Nirav Modi scam was a major corporate governance failure that occurred in India in 2018. Nirav Modi, a prominent diamond merchant, and his associates defrauded Punjab National Bank (PNB) of over ₹13,000 crores (US$2 billion). The scam involved forging and misusing letters of undertaking (LoUs) to obtain loans from PNB.

The Nirav Modi scam highlighted a number of corporate governance failures at PNB. The bank's internal controls were weak, and there was a lack of oversight by the bank's management and board of directors. The auditors of PNB, KPMG, also failed to detect the fraud.

- **Corporate Governance Failures: -**

The Nirav Modi scam highlighted a number of corporate governance failures at PNB. These failures include:

- Weak Internal Controls: PNB's internal controls were weak, which allowed Modi and his associates to perpetrate the fraud. For example, PNB did not have a system in place to track the issuance of LoUs.
- Lack of Oversight: There was a lack of oversight by PNB's management and board of directors. This allowed Modi and his associates to continue the fraud for several years without being detected.
- Auditor Failure: PNB's auditors, KPMG, failed to detect the fraud. This is a major failure of audit oversight.

- **Impact of the Scam: -**

The Nirav Modi scam had a significant impact on PNB and on the Indian banking system. PNB suffered a major financial loss, and its reputation was damaged. The scam also eroded public confidence in the Indian banking system.

The scam also led to increased scrutiny of corporate lending by banks. Banks are now more cautious about lending to companies, and they are demanding more collateral from borrowers.

- **Lessons Learned: -**

The Nirav Modi scam offers a number of important lessons for corporate governance. These lessons include:

- Strong Internal Controls: Companies need to have strong internal controls in place to prevent fraud and other abuses. These controls should be regularly reviewed and updated to ensure that they are effective.
- Effective Oversight: Companies need to have effective oversight by the board of directors and management. The board of directors should have a strong audit committee and should meet regularly to review the company's financial performance and risk management practices.
- Auditor Vigilance: Auditors need to be vigilant in detecting and reporting fraud. Auditors should have a strong anti-fraud program in place and should conduct their audits in accordance with professional standards.

- **Recommendations: -**

In addition to the lessons learned above, the following recommendations can be made to prevent similar scams from happening in the future:

- Regulatory bodies should mandate that banks have strong internal controls in place to prevent fraud and other abuses.
- Regulatory bodies should strengthen their oversight of audit firms.
- Audit firms should invest in training their employees on fraud detection.
- Banks should implement whistleblower policies to encourage employees to report suspected wrongdoing.

By taking these steps, we can help to ensure that corporate governance failures like the Nirav Modi scam do not happen again.